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W46: Wild West Week

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Hi and thank you for being here! 🦄

Welcome back to our weekly market series. Each issue explains what moved the markets, what is coming next, and the ideas behind it, so you build your own understanding over time. No jargon, no panic, just the story of the week.

The mood right now: a little less jittery than this morning. CNN's fear meter started Monday at 24 (“extreme fear”) and has climbed to 32 (“fear”) as stocks bounced. Last week brought US election results, a jobs report and more AI nerves. A nervous market is a great time to learn, not to rush.

Full honesty: this was not an easy newsletter to write, with a market that went from rally to rout to bounce in a single week, but there we go!

Last Week (45) at Glance

Key Insights

- **Good news can hurt.** A strong jobs report (165,000 jobs vs about 65,000 expected) made a December rate hike more likely (about 80% odds), and higher rates weigh on stocks, especially tech. 💸
- **The AI trade is wobbling.** Chip stocks fell about 12% in one day even though AMD and Palantir beat forecasts. That is investors reacting, not responding, which is why many AI stocks look discounted right now. 🤑

- **Midterms and tech.** Democrats won both chambers, so big new laws get harder to pass. The bigger tech worry is new rules and pauses on data centres, the buildings that power AI. 💰
- **The Nvidia drama.** Nvidia's board is investigating CEO Jensen Huang over a relationship with a business contact (the allegations are denied). Seriously, Jensen? When you lead one of the world's most valuable companies, your personal choices become market news. Nvidia fell another 5% to 6% Monday while other chip stocks bounced, so this is about one person, not all of AI. 🙄
- **Citi picked Europe over the US.** It cut US stocks and global tech to neutral and upgraded Europe, which has less AI exposure. So far Europe is ahead: the STOXX 600 is up more than 10% this year vs +7.8% for the S&P 500. 💅

United States

A week of two halves. Stocks rose midweek when Democrats won control of Congress and oil prices fell, then crashed on Thursday (S&P 500 –4.4%, Nasdaq –5.5%, Dow –3.4%). It was the S&P's worst day since April 2025, as investors worried that tougher rules on data centres could slow the AI boom. Friday brought a partial bounce (Nasdaq +1.1%, S&P 500 +0.3%), but the week still ended lower (S&P 500 –2.7%, Nasdaq –3.4%, Dow –0.9%). **Technology (–8.2%) and energy (–12.0%) were the weakest sectors**, while communication services (+4.9%), real estate (+1.9%) and consumer discretionary (+1.9%) did best. Oil slid (US crude –13% to about $90 a barrel) on hopes of an end to the Iran conflict, and gold climbed (+4.6% to about $4,080).

Friday's jobs report added a twist. Employers added 165,000 jobs, well above the roughly 65,000 expected, and unemployment fell to 4.1%. That sounds like great news, but it means the economy is not cooling, so traders now see roughly an 80% chance of an interest-rate hike in December, up from about 67% a week earlier. Higher interest, more expensive loans.

Europe

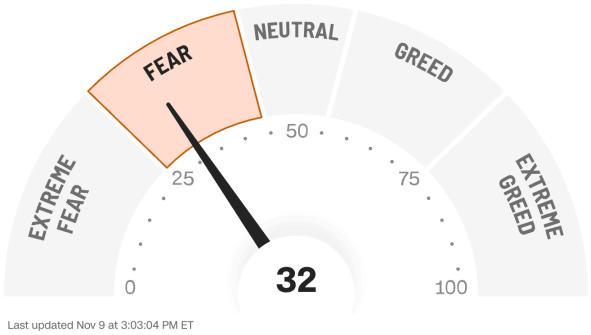
Europe wobbled but held up better than the US. The STOXX 600 (an index of 600 big European companies) slid about 1% on Friday as the tech rout crossed the Atlantic, yet it ended the week about flat (+0.2%) and is still up more than 10% this year, ahead of the S&P 500. The Bank of England raised its rate to 4% from 3.75%, its first hike since 2023. Euro-area inflation rose to 4.0% in October (first estimate), which keeps talk of an ECB hike alive. Teleperformance, a French customer-service company, plunged (–18%) after cutting its outlook.

Emerging Markets

Asia took the brunt on Friday as the US chip rout arrived. South Korea's Kospi dropped about 6% (after falling as much as 8.8%, which triggered a 20-minute trading pause), and Japan's Nikkei fell about 6%, its worst day in eight months. Chip giants fell hard too (SK hynix about –10%, Samsung about –6%, Taiwan's TSMC about –5%), and

SoftBank, a big AI investor, dropped about 11%. Hong Kong and mainland China fell far less (about –1%).

Current Mood



Fear & Greed Index*

Think of it as a mirror for your own emotions, not a buy or sell signal. Extreme fear has often appeared near market lows, but not always. For context, the reading was 19 on 22 October, 35 on 29 October, 24 last Monday (2 November) and was 24 again this morning. By mid-afternoon it had climbed to 32 (“fear”) as stocks bounced.

*CNN’s 0-to-100 mood meter for US stocks.

The US midterm elections, explained 🐓

What happened. Midterms are the US vote halfway through a president's term. Democrats won both the Senate and the House, so power in Washington is now split ("divided government"), which makes big new laws harder to pass.

How it can affect your money

- **Fewer surprises:** when parties must compromise, sudden big changes to taxes or spending are less likely, and markets like predictability. Stocks rallied on Wednesday (Dow +3.0%, S&P 500 +1.6%).
- **Some groups gain or lose:** health insurers and banks rose, defence and chip stocks fell, and cheaper oil helped growth stocks.
- **Tech is the worry:** new rules and pauses on data centres hit AI stocks on Thursday.

What to expect. Government funding runs out on 11 December, and a debt-limit fight is expected around March 2027. Expect headlines and some bumps, but history shows elections rarely decide the long run for your investments. Stay diversified and don't make big moves on a headline. 💪

Coming up this week 45

Inflation data, AI earnings and Nvidia headlines are the three things to watch. On Wednesday the US bond market is closed for Veterans Day, while stocks trade as normal.

United States

- **Tuesday: October inflation (CPI).** Inflation is how fast prices rise. Economists expect prices to rise 0.3% from September (0.2% excluding food and energy), cooler than September's 0.6%. A hotter number would strengthen December hike bets, and a cooler one could ease them. The report covers October, before this week's oil drop, so it looks backward. Fed officials Waller and Bowman also speak.
- **Tuesday: CoreWeave reports after the close.** It rents out AI computing power. Options traders expect a big swing of about 21% either way. Take-Two (the Grand Theft Auto maker) reports Monday.
- **Thursday: Cisco and Applied Materials report after the close.** Cisco makes networking equipment (options imply a move of about 10%). Applied Materials makes the machines that manufacture chips, so it is a read on chip demand after the rout.
- **Friday: producer prices (PPI).** These measure what companies pay for goods and are expected up 0.4%.

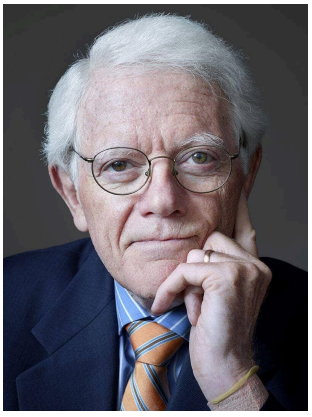
Europe

- **Friday: euro-area growth (GDP) for the third quarter.** With inflation at 4.0%, any sign of slowing growth makes life harder for the ECB.

Emerging Markets

- **Tuesday: SoftBank reports.** It is a large investor in AI companies and fell about 11% on Friday.

The takeaway: this week's numbers matter less than whether investors respond to them rather than react.



Quote of the week

"Far more money has been lost by investors preparing for corrections or trying to anticipate corrections than has been lost in corrections themselves."

Peter Lynch, the legendary manager of Fidelity's Magellan fund, wrote this in 1995, and it fits a week when the S&P 500 sits about 5.6% below its October record. In plain words: trying to dodge a fall by selling early or guessing the bottom has cost investors more than the falls themselves. One study in the article shows that investing $2,000 a year in the S&P 500 from 2000 to 2025 returned about 9.0% a year even

when you bought at each year's highest point, versus 10.5% with perfect timing, so staying invested mattered more than timing.

Term to know: correction

A correction is when a market or index falls 10% or more from a recent high. A bear market is a fall of 20% or more. On Thursday the Nasdaq entered a correction, and the chip index is down 29% over the past five weeks, which is bear-market territory. Corrections are a normal, if uncomfortable, part of how markets work, and what counts is how long investors stay calm. 🧘

The last three S&P 500 corrections (falls of 10% or more from a recent high) were:

- **February to April 2025.** The index fell 10% by 13 March 2025 and bottomed around 8 April, close to 19% below its high. That was close to a bear market, but it did not quite reach 20% at the close. A headline in the search results calls this the first correction “since 2023”, which fits the next item.
- **August to October 2023.** The index fell a little over 10% from its July high to its late-October low, then recovered into 2024.
- **2022.** This was deeper: a full bear market, with a fall of about 25% from January to October 2022.

Correnctions are fairly common as you can see, so no biggie. 💅 The S&P 500 is only about 5.6% below its October 2026 record, so this week’s fall is a pullback, not yet a correction. The Nasdaq did fall 10% or more on Thursday, which is why the “Term to know” section calls that a correction. Keep calm and enjoy the ride! 🐂

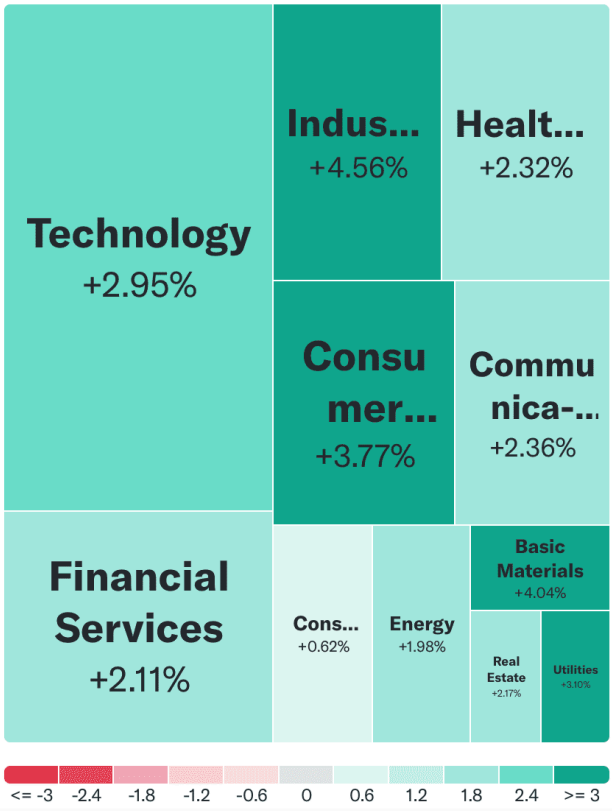
Sector Performance

Select a Sector for a Visual Breakdown

Sector	Market Weight	YTD Return
All Sectors	100.00%	+13.24%
Technology	30.62%	+14.52%
Financial Services	13.95%	+4.58%
Industrials	10.44%	+40.93%
Healthcare	10.36%	+24.76%
Consumer Cyclical	9.93%	+5.10%
Communication Servi...	8.41%	-8.59%
Consumer Defensive	4.82%	+16.95%
Energy	4.73%	+30.35%
Basic Materials	2.65%	+11.84%
Real Estate	2.09%	+11.00%
Utilities	1.98%	+7.14%

Note: Percentage % data on heatmap indicates Day Return

All Sectors



The chart groups the US market into 11 sectors. The size of each box is its share of the market. The colour is today's move: green is up, red is down. The table adds each sector's "market weight" (its slice of the market) and its return since January.

What stands out

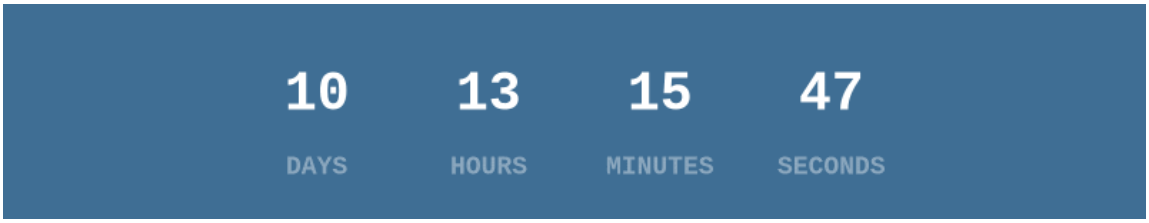
- **All eleven sectors are green in Monday's snapshot**, led by energy (+2.3%) and utilities (+1.6%), a calmer start after a rough few weeks.
- **Technology is still the giant (30.5% of the market).** It is flat on the day (+0.0%), and its gain for the year has shrunk to 11.3%, down from 18.5% a week ago.
- **Energy and industrials still lead the year**, up 30.8% and 35.1%. Energy's yearly gain has shrunk from 46.6% a week ago.
- **Communication Services is still the weakest sector (–10.7% this year).** Alphabet sits here, and investors still worry about AI spending.

What it means: the whole US market is up 10.4% this year, down from 12.7% a week ago. **The pullback is real, but the year is still in the green**. A single day's colours tell you little, so look at the longer return too, and remember that the market is not moving as one. Mixing different types of investments matters.

Disclosure: This newsletter is general education, not personal investment advice, and nothing here is a recommendation to buy or sell any security. Figures come from official & attached sources and can change quickly.

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